

LAVETO SYSTEM RESTORATION

Master Terms and Conditions of Membership

Welcome to Laveto System Restoration. This document serves as the Member Agreement between Laveto Pty Ltd ("Laveto", "we", or "us") and you, the Member. We are not a traditional garage or an insurance company. We are a vehicle management and financial platform designed to eliminate unpredictable breakdowns, lower repair costs, and sever your dependence on unregulated mechanics.

By creating an account and activating your Laveto Membership, you agree to the following terms and conditions:

1. THE SERVICE MISSION (VERIFIED QUALITY CONTROL)

- **Nature of Service:** Laveto provides verified quality control and facilitates the phased restoration of your vehicle. We do not cover loss or damage like an insurance provider.
- **Core Focus:** Our primary focus is the restoration of your vehicle's suspension and steering architecture, which serves as the foundational safety and stability skeleton of your vehicle.
- **Our Role:** We verify your vehicle's condition using detailed inspections, source premium components through our direct global wholesale network, coordinate physical installation with Certified Workshop Partners, and document every step via high-resolution imaging.
- **No Absolute Guarantee:** While our strict inspection protocols drastically reduce mechanical risk, we cannot guarantee that a vehicle will never experience unforeseen mechanical failures.

2. THE INSPECTOR MANDATE & DATA OWNERSHIP

- **Quality Controller:** No repair payment is released without the physical presence of a Laveto Inspector. Our Inspectors do not perform physical labor; they strictly witness and verify the mechanic's work to ensure quality.
- **The Three-Step Verification Protocol:** Every component installed must pass three checks before payment is authorized:
 1. **Part Verification:** Scanning the new part's barcodes/QR codes against our procurement database to guarantee authenticity.
 2. **Visual Proof:** Capturing side-by-side high-resolution photos of the failed old part next to the new part.
 3. **Permanent Etching:** Engraving your 17-digit vehicle VIN directly into the metal of the new part to prevent future parts fraud or swapping.
- **Data Ownership:** All inspection data (photos, service logs, mechanic reports) remains the exclusive property of Laveto Pty Ltd.
- **The Digital Service Record:** You are granted a perpetual, non-transferable license to access your vehicle's Digital Service Record through the Member Dashboard. This

serves as indisputable proof of your vehicle's maintenance history to maximize its resale value.

3. THE NEW MEMBER PROBATION PERIOD (120 DAYS)

- **The Probation Phase:** All new members undergo a mandatory 120-day probation period. Your monthly deposits will accumulate normally in your account, but major repair financing (withdrawals or loans exceeding 30% of your total contributions) is locked until your 5th month of membership.
- **Immediate Benefits:** During these first 4 months, you immediately receive access to our Wholesale Sourcing Rates (guaranteeing 20% savings on parts), comprehensive vehicle inspections, and your Digital Service Record for any out-of-pocket repairs.
- **Rationale:** This protects the collective financial pool, proves member consistency, and prevents rapid-entry/rapid-exit exploitation of the system.

4. UNAUTHORIZED REPAIRS & ACCOUNT CANCELLATION

- **24-Hour Notice:** If you require any mechanical repair or service, you must notify Laveto via your dashboard at least 24 hours in advance to receive an Approved Repair Code.
- **Unauthorized Repair Clause:** If you permit an uncertified mechanic or unauthorized garage to perform work on your vehicle without an Approved Repair Code and a Laveto Inspector present, your membership benefits are immediately and permanently revoked.
- **Consequences:** Engaging in unauthorized private repairs voids this Agreement entirely, places you on the Laveto Cancellation List, and triggers the immediate closure of your account and liquidation of your savings balance (minus applicable exit fees).

5. FINANCIAL MANAGEMENT & THE 90-DAY SECURITY FREEZE

- **The 40/60 Split:** Your monthly deposits are automatically allocated into two balances: 40% to the Maintenance Fund (highly liquid capital reserved for your immediate repair needs) and 60% to the Savings Engine (internal member lending that generates up to 5% annual interest for you).
- **The 90-Day Security Freeze:** In the event of a declared national economic crisis or systemic financial instability, Laveto reserves the right to stagger voluntary account withdrawals over a 90-day period. Funds required for critical mechanical safety repairs or documented medical emergencies remain 100% accessible during this time.

6. LIMITATION OF LIABILITY

- **Auditor Status:** Laveto acts strictly as a digital service auditor and financial manager. We do not direct or execute the physical labor of the workshop mechanics.
- **Primary Liability:** The third-party Certified Workshop Partner (the garage executing the labor) bears sole and exclusive liability for the quality of their workmanship, safety compliance, and any physical damage to the vehicle while in their care.

- **Indemnification:** You agree to hold Laveto Pty Ltd harmless from any claims, damages, or liabilities arising from the physical condition of your vehicle, the manual labor performed by Workshop Partners, or your use of the vehicle after repairs are completed.

7. ACCOUNT CANCELLATION & EARLY EXIT FEES

Laveto invests significant resources into global parts sourcing, software infrastructure, and physical inspections on your behalf. If you choose to voluntarily close your account and exit the ecosystem prematurely, an Early Exit Fee is applied to your total balance:

- **INACTIVE/NEW Status (< 12 months active):** 15% Exit Fee.
- **ACTIVE Status (12-24 months active):** 10% Exit Fee.
- **VIP Status (> 24 months active):** 0% Exit Fee (Free exit).

Exceptions: No fee is applied to funds that were already spent on verified vehicle repairs, or for members exiting due to documented permanent disability, total loss/write-off of the vehicle, or permanent relocation outside of Botswana.

By accessing the Laveto Member Dashboard, you acknowledge that you are leaving the unregulated repair market behind and committing to the verified standards of Laveto System Restoration.

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